

Hindustan Aeronautics Ltd

HAL

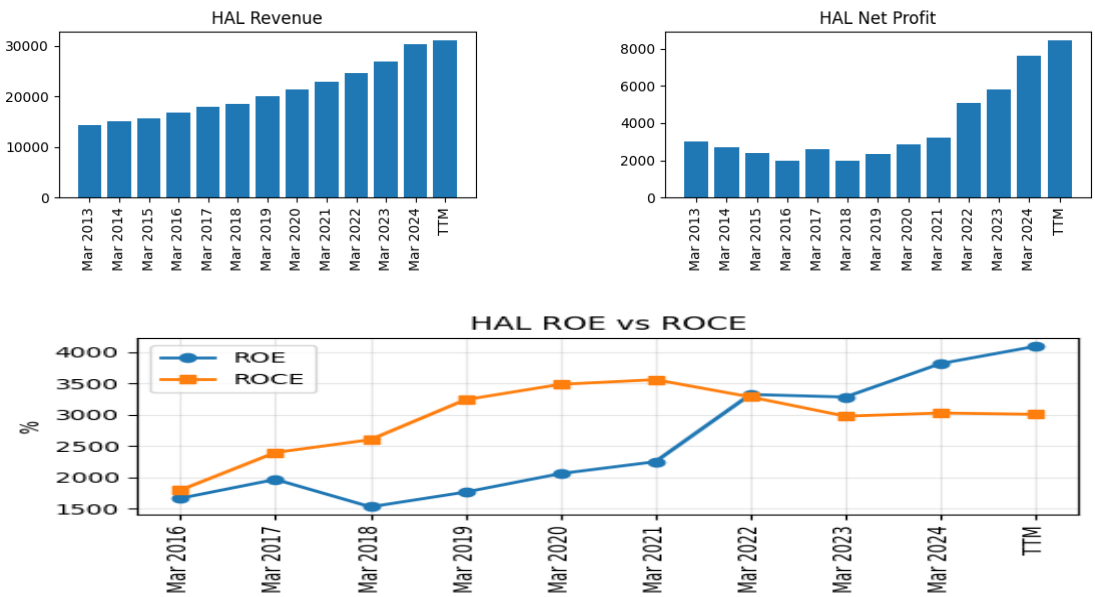
Key Financial Metrics

ROE 4,092.75%	ROCE 3,007.25%	Debt / Equity 0.60
Revenue CAGR 7.07%	FCF Conversion 108.31%	Quality Score 68.63

Company Profile

Company	Hindustan Aeronautics Ltd
Sector	Industrials
Industry	Defence & Aerospace
Market Cap (■ Cr)	2,643,616.86
P/E Ratio	71.89
P/B Ratio	3.65
Dividend Yield	2.77%

Financial Performance



AI Investment Summary

Hindustan Aeronautics Ltd maintains healthy financial performance and stable business fundamentals. It currently has excellent profitability, strong capital efficiency, limited revenue growth, moderate cash-flow quality and manageable leverage. The overall financial quality score is 68.6/100. Key strengths include: Consistently high return on equity above 20% demonstrates exceptional capital efficiency.; Return on equity improving for three consecutive years reflects strengthening business quality and capital efficiency.; Profits are compounding faster than revenue, indicating improving operating leverage and scalability.. Key risks include: No major financial weakness was identified by the rule engine, although ongoing monitoring remains important.. Investment recommendation: Buy. Overall, the company appears to be financially strong with manageable risks.

Pros & Cons

Pros	Cons
• Consistently high return on equity above 20% demonstrates exceptional capital efficiency. • Return on equity improving for three consecutive years reflects strengthening business quality and capital efficiency. • Profits are compounding faster than revenue, indicating improving operating leverage and scalability. • Operating profit margin above 25% indicates strong pricing power and cost discipline. • Very high interest coverage ratio reflects negligible financial stress from debt servicing.	• No major financial weakness was identified by the rule engine, although ongoing monitoring remains important.

Investment Recommendation

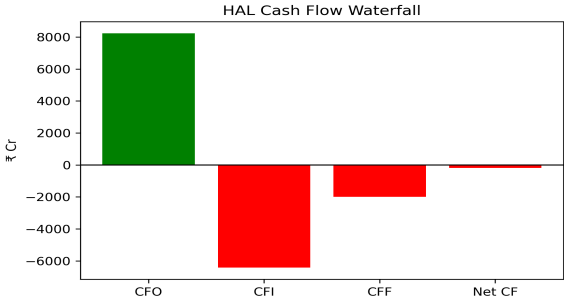
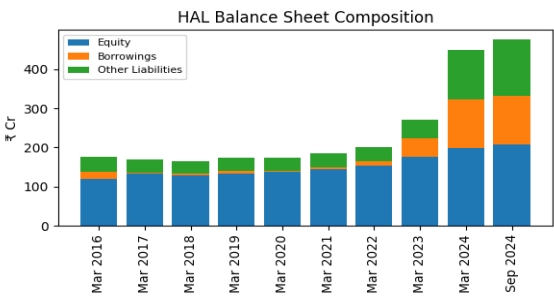
Recommendation	BUY
Risk Level	LOW
Confidence	HIGH

Recommendation Reason:

The recommendation is based on an adjusted financial score of 70.6/100, supported by 5 identified strengths, 1 identified risks, and cash-flow quality rated as Moderate.

Adjusted Score: 70.6

Balance Sheet & Cash Flow



Financial Health

Profitability	Strong
Growth	Moderate
Cash Flow	Moderate
Leverage	Moderate
Valuation	Expensive

Capital Allocation

Shareholder Returns